Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The consolidated financial statements and related information in the annual report are the responsibility of management. The consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgment and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the consolidated financial statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's consolidated financial statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the consolidated financial statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.

February 22, 2005





Richard A. Lan
President and Chief Executive Officer

Michael H. Vels
Chief Financial Officer

Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2004 and 2003 and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2004 and 2003 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



Chartered Accountants
Toronto, Canada
February 22, 2005

Consolidated Balance Sheets

As at December 31 (In thousands of Canadian dollars)	2004	2003
Assets		
Current Assets:		
Cash and cash equivalents	$ 9,312	$ 11,528
Accounts receivable (Note 3)	24,148	44,699
Inventories (Note 4)	33,504	33,205
Future tax asset - current (Note 12)	5,193	5,838
Prepaid expenses	2,103	2,081
	74,260	97,351
Property and equipment (Note 5)	354,128	335,811
Goodwill and other intangibles	330,404	341,814
Future tax asset - non-current (Note 12)	5,465	2,321
Other long-term assets	3,386	2,657
	$ 767,643	$ 779,954
Liabilities and Shareholders' Equity		
Current Liabilities:		
Accounts payable and accrued charges	$ 149,410	$ 151,134
Due to Maple Leaf Foods Inc.	140	443
Dividends payable	1,525	1,525
Income and other taxes payable	26,501	4,392
Current portion of long-term debt (Note 6)	71,482	26,941
	249,058	184,435
Long-term debt (Note 6)	344	126,710
Future tax liability (Note 12)	21,780	31,382
Shareholders' equity (Note 8)	496,461	437,427
	$ 767,643	$ 779,954

Contingencies and commitments (Note 16)

See accompanying Notes to the Consolidated Financial Statements.

On behalf of the Board:





Richard Lan
Director

John Bragg
Director

Consolidated Statements of Earnings

Years ended December 31, (In thousands of Canadian dollars, except per share amounts)	2004	2003
Sales	$ 1,318,865	$ 1,262,811
Earnings from operations before restructuring costs	$ 98,970	$ 62,941
Restructuring costs (Note 9)	–	(7,422)
Earnings from operations	98,970	55,519
Other income (expense) (Note 10)	125	(11)
Earnings before interest and income taxes	99,095	55,508
Interest expense (Note 11)	6,837	8,355
Earnings before income taxes	92,258	47,153
Income taxes (Note 12)	25,610	11,520
Net earnings	$ 66,648	$ 35,633
Earnings per share – basic (Note 17)	$ 2.62	$ 1.42
Earnings per share – diluted (Note 17)	$ 2.57	$ 1.39
Weighted average number of shares (millions)	25.4	25.1

Consolidated Statements of Retained Earnings

Years ended December 31, (In thousands of Canadian dollars)	2004	2003
Retained earnings, beginning of year	$ 277,279	$ 247,746
Net earnings	66,648	35,633
Dividends declared ($0.24 per share; 2003 - $0.24 per share)	(6,100)	(6,100)
Retained earnings, end of year	$ 337,827	$ 277,279

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

Years ended December 31, (In thousands of Canadian dollars)	2004	2003
Cash Provided By (Used In):		
Operating Activities		
Net earnings	$ 66,648	$ 35,633
Add (deduct) items not affecting cash:		
Depreciation	42,288	39,529
Future income taxes	(12,101)	(3,010)
Loss on sale of property and equipment	19	196
Other	3,360	2,565
Change in non-cash operating working capital	42,518	(8,539)
	142,732	66,374
Financing Activities		
Dividends paid	(6,100)	(5,860)
Increase in long-term debt	13,779	79,609
Decrease in long-term debt	(78,748)	(174,131)
Increase in share capital (Note 8)	–	106,000
	(71,069)	5,618
Investing Activities		
Additions to property and equipment	(69,622)	(63,792)
Proceeds from sale of property and equipment	1,051	1,146
Purchase of net assets of businesses (Note 15)	(5,894)	(8,928)
Change in intangible assets	586	(1,279)
	(73,879)	(72,853)
Decrease in cash and cash equivalents	(2,216)	(861)
Cash and cash equivalents, beginning of year	11,528	12,389
Cash and cash equivalents, end of year	$ 9,312	$ 11,528
Supplemental Cash Flow Information:		
Net interest paid	$ 6,557	$ 10,384
Net income taxes paid	15,602	23,235

See accompanying Notes to the Consolidated Financial Statements

Notes to the Consolidated Financial Statements

Years Ended December 31, 2004 and 2003
(Tabular amounts in thousands of Canadian Dollars, except share amounts)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or "the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 86.6% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2004.

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company. The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(a) Principles of consolidation: The consolidated financial statements include the accounts of the Company and its subsidiaries.

(b) Translation of foreign currencies: The accounts of foreign subsidiaries are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average exchange rates for the year for revenue and expenses. Exchange gains or losses on translation are deferred and included as a separate component in shareholders' equity until realized.

(c) Hedging arrangements: The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The Company uses hedge accounting to record these derivative transactions.

The Company formally documents all relationships between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedged transactions. This process includes assigning all derivatives to specific assets and liabilities on the balance sheet or to specific firm commitments or anticipated transactions. The Company formally assesses, using regression analysis, both at the inception of the hedge and on a quarterly basis, whether the derivatives that are used in hedging transactions are effective in offsetting the changes in the fair values or the cash flows of hedged items. All hedging instruments and relationships in existence as at December 31, 2004 were assessed on the above basis and it was determined that they met the criteria relative to hedge effectiveness.

The Company uses currency forward contracts and options to hedge its exposures to transactions denominated in foreign currencies. The Company also uses futures and options to hedge its exposures to commodity based transactions (primarily wheat purchases). When the criteria for hedge effectiveness is met, the gains and losses on the currency and/or commodity hedging instruments are recognized in the consolidated financial statements in the same period as the item to which the hedged position relates. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively. When hedge effectiveness is not met, the Company records the fair value of the hedging items as other liabilities or assets on the balance sheet. Any resulting gains or losses are recorded in other income.

The Company enters into interest rate and foreign exchange swaps to reduce the impact of fluctuating interest rates and exchange rates on short-term and long-term debt. The Company designates its interest rate hedge agreements and foreign exchange swaps relating to debt as hedges of the underlying debt. The interest rate swap agreements involve the periodic exchange of payments without the exchange of the notional principal amount upon which the payments are based. Interest expense on the debt is adjusted to include the payments made or received on the interest rate swaps. The related amount payable to or receivable from counterparties is included as an adjustment to accrued interest.

The Company designates its cross currency swap as a hedge of its net investment in its U.S. based businesses. Any exchange gain or loss on its cross currency swap is offset against the unrealized exchange gain or loss arising on translation of the U.S. dollar financial statements of these businesses and is included in the unrealized foreign currency adjustment account in shareholders' equity.

Realized and unrealized gains or losses associated with derivative instruments, which have been terminated or cease to be effective prior to maturity, are recorded as liabilities or assets on the balance sheet and recognized in income in the period in which the underlying hedged transaction is recognized. In the event the designated hedged item is sold, extinguished or matures prior to the termination of the related derivative instrument, any unrealized gain or loss on such derivative instrument is recognized immediately in income.

(d) Revenue recognition: The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as cost of sales. Sales incentives include various rebate and promotional programs with the Company's customers, primarily rebates based on achievement of specified volume or growth in volume levels.

(e) Inventories: Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(f) Property and equipment: Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

- Buildings 2.5% to 5%
- Machinery and equipment 10% to 33%

(g) Deferred financing costs: Costs incurred to obtain long-term debt financing are amortized over the term of such debt and are included in interest expense for the year.

(h) Asset retirement obligations: Effective January 1, 2004, the Company adopted the new Canadian accounting standard, Section 3110, "Accounting for Asset Retirement Obligations". The new standard requires companies to record the fair value of an asset retirement obligation as a liability in the period in which they incur a legal obligation associated with the retirement of tangible long-lived assets that results from the acquisition, construction, development and/or normal use of the assets. Companies are also required to record a corresponding amount as an asset that is depreciated as a charge to earnings over the life of the asset. The application of this standard did not have a material impact on the Consolidated Financial Statements of the Company.

(i) Goodwill and other intangibles: Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to the identifiable tangible and intangible assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands and delivery routes. Definite life intangibles are amortized over their estimated useful life. Goodwill is tested for impairment annually in the second quarter and as required if there are indicators of impairment in value. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value.

(j) Income taxes: The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date.

(k) Employee benefit plans: The Company accrues obligations under employee benefit plans and the related costs, net of plan assets. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the market value of assets and all gains and losses due to changes in plan provisions are amortized on a straight line basis over the expected average remaining service period of the active Plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(l) Statement of cash flows: Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(m) Comparative figures: Certain 2003 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2004.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At December 31, 2004, trade accounts receivable amounting to $70 million (2003: $50 million) had been sold under these programs.

4. INVENTORIES

	2004	2003
Material held for production	$ 22,539	$ 22,111
Finished products	10,965	11,094
	$ 33,504	$ 33,205

5. PROPERTY AND EQUIPMENT

	2004	2003
Land	$ 27,663	$ 32,131
Buildings	130,113	118,807
Machinery and equipment	393,578	357,843
Construction in progress	49,869	46,189
	601,223	554,970
Less: accumulated depreciation	247,095	219,159
	$ 354,128	$ 335,811

6. LONG-TERM DEBT

	2004	2003
Revolving term facility (a)	$ –	$ 78,324
Due to Maple Leaf (b)	90,850	93,923
Other	562	1,399
Obligations under capital leases	414	5
	91,826	173,651
Less:		
Current portion	71,482	26,941
Portion classified as equity (b)	20,000	20,000
	91,482	46,941
	$ 344	$ 126,710

(a) In July 2001, Canada Bread established a bank facility to finance the acquisition of Multi-Marques Inc. and provide liquidity for general corporate purposes. The facility is structured as follows:

(i) a $38.5 million (2003: $77.0 million) revolving/reducing term facility, maturing in July 2005

(ii) a committed four-year $20.0 million revolving facility, maturing in 2005

These facilities can be drawn in either Canadian or U.S. dollars and bear interest based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar loans. At December 31, 2004, $7.9 million (2003: $85.0 million) was utilized under this facility of which the full amount (2003: $6.7 million) was in respect of letters of credit.

(b) Canada Bread has a $169.0 million revolving debt facility with Maple Leaf. The facility was established in December 2002 to fund the acquisition of the Maple Leaf Bakery Group and to provide liquidity for general corporate purposes. This revolving facility is repayable on December 27, 2005. Net interest paid to Maple Leaf under this facility was $2.0 million in 2004 (2003: $2.3 million). This facility bears interest at substantially the same rates as the facility described in (a) above.

At December 31, 2004, a total of $141.9 million (2003: $128.1 million) was drawn. Netted against this amount is a $51.1 million (2003: $34.2 million) receivable related to the Company's five-year cross-currency swap with Maple Leaf (Note 7). The swap has a current unrealized gain of $56.8 million in total, of which $51.1 million represents the portion of the gain related to currency translation that must be recorded on the balance sheet. Under the terms of the debt facility, each party has the legal right to set off any amounts owed by it to the other party against any amounts receivable from the other party. Accordingly, the currency gain has been recorded as a reduction of long-term debt.

Canada Bread has an option to repay up to $20.0 million of debt outstanding under this facility in common shares. As required by Canadian accounting standards, this amount has been classified as a separate component of shareholders' equity.

In addition, the Company has undrawn demand overdraft facilities of $22.0 million (2003: $10.0 million), which bear interest at short-term rates. At year end, there were no amounts outstanding under these facilities.

The Company's blended average effective cost of borrowing for 2004 was 2.7% (2003: 3.2%), after adjusting for payments made under swap contracts in place in 2004 (Note 7).

Required repayments of long-term debt are as follows:

2005	$ 91,482
2006	318
2007	26
2008	–
2009	–
Thereafter	–
	$ 91,826

7. DERIVATIVE FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

In the ordinary course of business, the Company enters into derivative financial instruments with Maple Leaf as its counterparty to reduce underlying risks associated with foreign currency and interest rates.

Foreign currency risk management – The Company uses foreign currency forward contracts and options to manage its currency exposures. The currency exposure relates primarily to U.S. dollar-denominated export sales and U.S. dollar linked commodities, primarily flour.

At December 31, 2004, the Company had outstanding commitments to sell US$0.9 million (2003: US$10.1 million) at an average rate of 1.2375.

Interest rate risk management – The Company uses interest rate swaps to manage its exposure to interest rate fluctuations. At December 31, 2004, the Company had entered into interest rate swap contracts with Maple Leaf, having an aggregate notional amount of $150.0 million (2003: $40.0 million) and maturity dates ranging from July 12, 2005 to June 28, 2014. The fixed rates payable by the Company under these contracts range from 4.0% to 5.4%. The floating rates are based on the three-month bankers' acceptance rate.

Based on market values at December 31, 2004, the Company would have realized a loss of $5.4 million (2003: loss of $0.6 million) if it terminated the above-noted swap agreements.

In 2003, the Company entered into a five year cross-currency swap with Maple Leaf to hedge U.S. dollar-denominated assets. This swap requires Canada Bread to pay interest of 3.48% per annum on US$140.0 million and receive interest of 4.45% per annum on CAD$219.6 million. Based on market values as at December 31, 2004, the Company would have

realized a gain of $56.8 million if it terminated the above-noted swap agreement. Since this instrument was designated to hedge the currency translation on the Company's U.S. dollar-denominated assets, the portion of the gain related to currency translation ($51.1 million) has been recorded in the cumulative translation account. This amount has also been recorded as a reduction of long-term debt (Note 6).

Commodity price risk management: The Company uses a variety of third party derivative instruments to manage its exposure to commodity price fluctuations. Based on market values at December 31, 2004, the Company would have realized a loss of $1.3 million (2003: gain of $0.6 million) to terminate these outstanding contracts.

Fair values of financial assets and liabilities: Fair values of cash and cash equivalents, accounts receivable, accounts payable and accrued charges, and current portion of long-term debt approximate their carrying values due to their short-term nature.

The fair value of long-term indebtedness pursuant to the Company's facilities approximates its carrying value as it bears interest at floating rates.

8. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2004	2003
Share capital (25,416,812 common shares; 2003 - 25,416,812 common shares)	**$ 142,965**	$ 142,965
Retained earnings	**337,827**	277,279
Equity component of long-term debt (Note 6)	**20,000**	20,000
Unrealized foreign currency adjustment	**(4,331)**	(2,817)
	$ 496,461	$ 437,427

The authorized share capital of the Company consists of an unlimited number of common shares.

On January 28, 2003, the Company issued four million shares to Maple Leaf from treasury at $26.50 per share in a private placement transaction. Proceeds from the financing of $106.0 million were used to pay down debt owing by the Company to Maple Leaf (Note 6).

9. RESTRUCTURING COSTS

During 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million after-tax) relating to plant closures and operational restructuring. Included in the $7.4 million were provisions of $6.1 million relating to employee terminations, facility exit costs, and other restructuring costs. Of the $6.1 million in provisions, $1.9 million was paid in 2004 (2003: $3.3 million).

10. OTHER INCOME (EXPENSE)

	2004	2003
Loss on sale of property and equipment	**$ (19)**	$ (196)
Other	**144**	185
	$ 125	$ (11)

11. INTEREST EXPENSE (INCOME)

	2004	2003
Interest expense on long-term debt	**$ 3,041**	$ 8,664
Other net interest expense (income)	**3,796**	(309)
	$ 6,837	$ 8,355

12. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income taxes rate as a result of the following:

	2004	2003
Income tax expense according to combined statutory rate of 33.8% (2003: 35.3%)	$ 31,202	$ 16,623
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	(668)	(1,168)
Rate difference on foreign jurisdictions	(4,342)	(4,525)
Non-taxable gains	(27)	(17)
Large Corporations Tax	184	229
Other	(739)	378
	$ 25,610	$ 11,520

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2004	2003
Future tax assets:		
Accrued assets	$ 940	$ 7,358
Loss carry forward	16,913	5,467
Other	3,148	–
	$ 21,001	$ 12,825
Future tax liabilities:		
Plant and equipment - differences in net book value and undepreciated capital cost	$ 23,859	$ 30,564
Other	8,264	5,484
	$ 32,123	$ 36,048
Classified in the consolidated financial statements as:		
Future tax asset - current	$ 5,193	$ 5,838
Future tax asset - non-current	5,465	2,321
Future tax liability - non-current	(21,780)	(31,382)
Net future tax liability	$ (11,122)	$ (23,223)

13. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 in aggregate is as follows:

	2004	2003
Accrued benefit obligation:		
Balance, beginning of year	$ 104,599	$ 98,265
Current service cost	2,560	2,448
Interest cost	6,004	6,226
Benefits paid	(7,875)	(6,990)
Actuarial losses	2,596	3,574
Employee contributions	972	1,076
Balance, end of year	$ 108,856	$ 104,599
Plan assets:		
Fair value, beginning of year	$ 90,376	$ 85,181
Actual return on plan assets	7,465	10,988
Employer contributions	2,616	2,557
Employee contributions	972	1,076
Benefits paid	(7,875)	(6,990)
Asset transfer to Company defined contribution plan	(157)	(2,436)
Fair value, end of year	$ 93,397	$ 90,376

Funded status - plan surplus (deficit)	**$ (15,459)**	$ (14,223)
Unamortized transitional amount	**(8,225)**	(9,004)
Unamortized actuarial losses	**23,619**	22,594
Unamortized prior service cost	**1,124**	1,220
Accrued benefit asset	**$ 1,059**	$ 587

The accrued benefit asset is included in other assets on the balance sheet.

The pension assets are invested in the following asset categories at December 31, 2004 and December 31, 2003:

	2004	2003
Equity securities	**62%**	61%
Debt securities	**38%**	39%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2004	2003
Discount rate used to calculate net benefit plan expense	**6.00%**	6.50%
Discount rates used to calculate year end accrued benefit obligation	**5.75%**	6.00%
Expected long-term rate of return on plan assets	**7.50%**	7.50%
Rate of compensation increase	**4.00%**	4.00%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2004	2003
Current service cost - defined contribution plans	**$ 6,186**	$ 5,673
Current service cost - defined benefit plans	**2,560**	2,448
Interest cost	**6,004**	6,226
Actual return on plan assets	**(7,465)**	(8,745)
Amount by which actual return on plan assets is higher (lower) than expected	**882**	2,352
Actuarial loss recognized	**6,013**	6,083
Difference between actual and recognized actuarial losses in the year	**(5,325)**	(5,281)
Amortization of transitional obligation	**(778)**	(778)
Amortization of prior service cost	**96**	95
Net benefit plan expense	**$ 8,173**	$ 8,073

Measurement dates for deferred benefit plan obligations and expense:	
2004 expense	December 31, 2003
Balance sheet	December 31, 2004

The Company also has post-retirement benefit obligations of $1.9 million (2003: $1.0 million) that are fully accrued and included in other long-term liabilities.

14. RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $7.0 million (2003: $6.8 million) to Maple Leaf.

The Company received certain information system services from Maple Leaf for a cost of $4.6 million (2003: $3.5 million).

The Company received certain engineering services from Maple Leaf for a cost of $1.3 million (2003: nil).

15. ACQUISITIONS

In 2002, the Company acquired Olafson's Baking Company Inc. of Delta, British Columbia, a manufacturer of premium value-added fresh bakery products. The total purchase cost of $20.6 million included $9.1 million of contingent consideration, which has been paid. The final payment of contingent consideration in the amount of $5.9 million was made in 2004.

On July 4, 2003, the Company purchased the assets of a waffle manufacturer located in Richmond Hill Ontario for $6.2 million.

Details of net assets acquired and purchase adjustments in 2004 and 2003 are as follows:

	2004	2003
Net working capital	$ (1,179)	$ (9,918)
Other long-term assets	–	56
Property and equipment	–	(2,524)
Goodwill and other intangibles	2,851	18,327
Future income taxes	–	2,987
Purchase cost	$ 1,672	$ 8,928
Consideration:		
Cash	$ 5,894	$ 8,928
Accounts payable and accrued charges and long-term debt	(4,222)	–
	$ 1,672	$ 8,928

The following table provides details of the activity in the accrued restructuring liabilities associated with acquired businesses since 2002:

	Employee termination costs	Other exit costs	Total
Balance at January 1, 2004	$ 3,808	$ 12,208	$ 16,016
Returned to goodwill	(1,230)	(540)	(1,770)
Cash payments	(1,606)	(4,291)	(5,897)
Reclassification (i)	–	(3,111)	(3,111)
Balance at December 31, 2004	$ 972	$ 4,266	$ 5,238

(i) The amounts reclassified relate primarily to environmental provisions that have been netted off the carrying value of the asset they relate to.

16. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $13.4 million. The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2005	$ 16,598
2006	12,644
2007	9,116
2008	5,596
2009	4,108
Thereafter	5,747
	$ 53,809

17. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

	2004	2003
Numerator:		
Net earnings	$ 66,648	$ 35,633
Interest on convertible debt (Note 6)	376	461
Earnings available to common shareholders	$ 67,024	$ 36,094
Denominator:		
Weighted average common shares outstanding (in thousands)	25,417	25,083
Effect of dilutive securities (in thousands):		
Convertible debt	628	810
Weighted average shares – diluted (in thousands)	26,045	25,893

	2004	2003
Earnings per share:		
Basic	$ 2.62	$ 1.42
Diluted	2.57	1.39

18. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

(In millions of Canadian dollars)	2004	2003
Sales to customers		
Fresh bakery	$ 929.5	$ 882.1
Frozen bakery	389.4	380.7
	$ 1,318.9	$ 1,262.8
Earnings from operations, before restructuring costs		
Fresh bakery	$ 67.2	$ 37.0
Frozen bakery	31.8	25.9
	$ 99.0	$ 62.9
Capital expenditures		
Fresh bakery	$ 31.3	$ 25.0
Frozen bakery	38.3	38.8
	$ 69.6	$ 63.8
Depreciation and amortization		
Fresh bakery	$ 22.1	$ 20.2
Frozen bakery	20.2	19.3
	$ 42.3	$ 39.5
Total assets		
Fresh bakery	$ 395.4	$ 390.6
Frozen bakery	364.9	363.5
Non-allocated assets	7.3	25.9
	$ 767.6	$ 780.0